coincide with the end of the Great Asset Mania and the disinflationary economic recovery of the past thirteen years. The difference this time will be one of degree. Figure 13-27 shows that the current rise will complete a five-wave pattern from the depression low of $.0471 per pound in February 1933. When copper reaches the top of wave V, probably this year or early next, it will not be in the same position as it was at the 1929 high, but at a more important juncture: the end of a Supercycle degree advance. Copper is therefore due for its furthest fall in over six decades, which portends not just recession, but depression.

Professional and Public Psychology

Recall from Chapter 11 that throughout the early years of the 1980s bull market, many economists remained concerned about a renewed recession. The previous back-to-back recessions of 1980 and 1982 made caution ingrained. By June 1990, after eight years of expansion, that psychology had changed to the point that a month before the worst recession in decades began, 88% of economists polled forecasted economic growth "for at least the next twelve months."

Today there is once again no indication from the profession that there is any danger of a recession on the horizon. If linear projection of trends were a valid method of forecasting, the current economic environment would undeniably support an optimistic stance. The rate of commercial bank failures is the lowest in fourteen years. The level of delinquent payments owed to banks by consumers is the lowest in twenty years. Mortgage delinquencies are the lowest in 21 years. Corporate return on equity for the S&P 500 companies is near 20%, the highest *ever*. The bond market is rebounding, the stock market is making new all-time highs month after month, the economy is still expanding, inflation is "under control," and the Fed appears to be engineering its interest rates brilliantly to keep the economy on an even keel. In January 1995, Republicans gained control of Congress for the first time since 1954, and their promises to present a balanced budget amendment, cut the size of government spending, and especially to reduce the capital gains tax, have helped heighten the mood of optimism that has increased steadily among economists, financial commentators and the public for the past four years. There is no phrase that has been repeated to the media as often by economists, analysts, and even the Federal Reserve Board as this one: "*It is the best of all possible worlds* [for stocks and the economy]."